

INTERNAL AUDIT REPORT

Anti-Fraud Investigation Audit | Report No. AR-02321

Report ID:	AR-02321
Audit Type:	Anti-Fraud Investigation Audit
Report Date:	May 10, 2025
Audit Period:	2024-09-01 to 2025-05-09
Lead Auditor:	David Jenkins (EMP-71918)
Reviewed By:	Gerald Terry (EMP-2539)
Primary Vendor Reference:	IronPoint Manufacturing Ltd (VND-03370)
Subject Employee Reference:	James Mckinney (EMP-67308)
Primary Transaction Reference:	TXN-799897
Overall Risk Rating:	MEDIUM

1. EXECUTIVE SUMMARY

This anti-fraud investigation audit covered the period 2024-09-01 to 2025-05-09 and examined transactions, approvals, and compliance records associated with vendor IronPoint Manufacturing Ltd (VND-03370) and employee James Mckinney (EMP-67308). The audit identified 3 finding(s) requiring management attention, summarised in Section 3. The overall risk rating for this audit is assessed as **MEDIUM**.

2. SCOPE AND METHODOLOGY

The audit was conducted in accordance with the Internal Audit Charter and covered a sample of transactions processed through the Approval Workflow and Expense Claim systems. Testing included transaction tracing, approval limit verification, compliance record cross-referencing, and interviews with relevant process owners. Transaction ID TXN-799897 (amount 129,956.40 USD) was selected as a key test item.

3. FINDINGS

Finding ID	Severity	Category	Description
FND-00117 1	MEDIUM	VENDOR RISK	BLACKLISTED vendor VND-VND-00123 received payment of \$430,052 via contract CON-108020 that was not updated following blacklisting.
FND-00318 3	MEDIUM	APPROVAL LIMIT	Approval granted by EMP-68998 who was not authorised to approve amounts above \$500,000. Transaction value: \$8,233.

Finding ID	Severity	Category	Description
FND-000078	HIGH	APPROVAL LIMIT	Transaction processed with approval from an officer whose delegated authority was 20% below the required threshold.

4. EVIDENCE REFERENCES

Evidence ID	Source Type	Citation Reference	Alignment Score
EVI-004643	DNS LOG	EVD-PMV-4949	0.65
EVI-005915	TRANSACTION RECORD	EVD-UCO-4449	0.98
EVI-006049	POLICY DOCUMENT	EVD-DKB-4502	0.56
EVI-007982	POLICY DOCUMENT	EVD-QRA-2640	0.57
EVI-008859	POLICY DOCUMENT	EVD-CDF-5381	0.54
EVI-009030	POLICY DOCUMENT	EVD-TIR-0807	0.89

5. RECOMMENDATIONS

- Implement receipt-matching automation for expense claims above the policy threshold.
- Establish a quarterly reconciliation process between Purchase Orders and Vendor Invoices.
- Strengthen segregation of duties between transaction initiation and approval functions.

6. MANAGEMENT RESPONSE

Management agrees with the findings and has committed to implementing the recommended controls within 90 days.

7. SIGN-OFF

Role	Name	Employee ID	Date
Lead Auditor	David Jenkins	EMP-71918	2025-05-10
Reviewing Officer	Gerald Terry	EMP-2539	2025-05-12